



Aspire (Active NS Mid & Small Cap)

Research Analyst: Deepak Kumar and Sandip Jabuani
Narnolia Financial Services Ltd | SEBI Registration No.- INH300006500
WEBSITE- www.narnolia.com

Description & Objective

Long-term capital growth by investing in smaller but growing companies of India

Strategy

Active investing in Active NS Mid & Small Cap investment universe by identifying companies with improving fundamentals. Tactical weight allocation under the sub-classes to achieve positive return along with managing the risk.

Methodology

Fundamental Bottom Up Research
Information mining, financial modeling, investment thesis, active & rigorous tracking for changes in earnings & quality outlook.

Why Aspire (Active NS Mid & Small Cap) Portfolio?

Most of the multi bagger stock today were Active NS Mid & Small Cap few years back. Active NS Mid & Small Cap theme portfolio is not meant as core portfolio for an investor but some tactical allocation by investors in Active NS Mid & Small Cap theme can be highly valuable.
Active NS Mid & Small Cap Companies perform well in up cycles. The continuous rate cuts by the RBI will create base for next bull market to start.

Benchmark : Nifty Mid & Small 400 **Recommended Min. Time Horizon :** 7 Years

No. of Stocks : 20 - 30

Companies Holdings %			
Stock	Sector	Weight	Rebalancing Action
MFSL	Financials	10%	
ZYDUSWELL	Consumer Staples	10%	
TVSMOTOR	Automobiles	10%	
RECLTD	Financials	7%	
CAMS	Consumer Disc.	7%	
PIRAMALFIN	Financials	6%	
MARICO	Consumer Staples	5%	
AFFLE	IT	5%	
AMBER	Consumer Disc.	5%	
PVRINOX	Media	5%	
JIOFIN	Financials	5%	
COFORGE	IT	5%	
MINDACORP	Auto Components	4%	
KTKBANK	Financials	4%	BUY New (4%)
LTTS	IT	3%	
SKYGOLD	Consumers Disc	3%	
ACUTAAS	Materials	3%	
ACE	Industrials	3%	
J&KBANK	Financials	0%	Sell Full (4%)

Model type- Static where the percentage allocation of each security remains fixed irrespective of daily changes in market prices

Launch Date	27 th October 2025
Update Date	5 th Aug 2026
Review frequency	As and when required
Risk of the model	Aggressive

Karnataka Bank is a private sector commercial bank in India with a total asset base of Rs 1.30 lakh crore, and network of 976 branches and 1,469 ATMs. Originally established in Karnataka, the bank has expanded its presence across the country and has strategically transformed its loan portfolio toward a balanced Retail, Agriculture, MSME (RAM), and Corporate mix.

- ❖ Management expects 15-20% advance growth, led by continued RAM expansion and the replacement of low-yielding opportunistic advances with higher-yielding retail, MSME, and direct corporate loans.
- ❖ Expects 10-15% deposit growth, led by granular retail deposit mobilization, sustained CASA growth above 33%, and continued replacement of high-cost bulk deposits with lower-cost retail deposits.
- ❖ Asset quality to improve further, driven by lower slippages and a higher share of RAM loans in the portfolio. Aims to maintain the NNPA ratio at 0.6-0.8% and does not foresee any significant additional provisioning due to future slippages.
- ❖ Management guided the C/I ratio to improve over the medium to long term, with a target range of 52-55%.
- ❖ Expects to maintain a stable NIM of 3-3.4% by improving yields through continued expansion of the RAM loan portfolio while lowering the cost of funds through a greater share of granular retail deposits (below 3 cr).
- ❖ Management aspires ROA of 1.35-1.40%, following the achievement of 1.29% in Q1.

	FY25	FY26	FY27E	FY28E
NII	3310	3119	4052	4741
PPP	1827	1974	2610	3158
PAT	1272	1311	1804	2184
ADVANCES	76541	81810	94081	108193
DEPOSITS	104807	108779	120617	135242
NNPA (%)	1.31	0.98	0.75	0.64
ROE (%)	11.1	10.4	12.9	13.8
ROA (%)	1.1	1.0	1.3	1.4
P/B (x)	0.5	0.6	0.8	0.7

Notes:

Mr. Raghavendra Srinivas Bhat has served as MD & CEO since July 16, 2025, initially in an interim capacity until November 15, 2025, before being appointed as the full-time MD & CEO for an RBI-approved one-year term ending November 15, 2026.

Other Rationales

J&KBANK	156/-	SELL FULL	J&K Bank reported a strong 25.4% YoY credit growth in the quarter, with management maintaining a healthy annual credit growth guidance of 18–20%, supported by an increasing focus on higher-yielding retail lending. However, net interest margin (NIM) declined to 3.28% in 1QFY27 due to a temporary shift toward lower-yielding corporate loans and greater dependence on high-cost bulk deposits to fund growth. Profitability also remains under pressure from a sequential decline in the CASA ratio to 42.06% and the possibility of equity dilution as the bank plans to raise capital to address upcoming Expected Credit Loss (ECL) requirements. Therefore, we are shifting our focus to other growth opportunities.
---------	-------	-----------	--

Max Financial Services Ltd. (MFSL) is the holding company (holds ~87% share) of Max Life Insurance (MAXLIFE), a private life insurance company. MFSL is a joint venture with a Japanese insurance partner- Mitsui Sumitomo Insurance Co. Ltd., which holds 21.9% share of MFSL, and is a global leader in life insurance. Remaining 13% of stake in Max life is held by Axis Group. MAXLIFE offers comprehensive protection and long-term saving solutions, through its multichannel distribution including agency and third distribution partners.

- ❖ The life insurance industry in India has relatively low penetration of 3.2% (Premium as a % of GDP) as compared to other parts of the world.
- ❖ Within Axis Bank, MAXLIFE continues to maintain a 65-66% counter share in individual business and ~60% share in credit life. Management expects these shares to improve to 65-70% over time.
- ❖ MFSL's RoEV stands at 14.3% in FY26 .EV has witnessed a CAGR growth of 19.5% over FY20-FY26 and going forward it is expected to grow at around same rate.
- ❖ Value of new business has grown at 19.8% CAGR over FY20-FY26 and going forward it is expected to grow at 18-19% with margins of 26-27% Margin expansion of 120 bps in FY25-26 driven mainly by changes in product-level margin than product mix.
- ❖ Net Premium income has grown at 15% CAGR over FY23-FY26 and going forward this growth is expected to be maintained.

	FY25	FY26	FY27E	FY28E
Net Premium	32549	38845	45237	52705
PAT	407	104	534	590
AUM	175072	189795	221700	250500
VNB	2107	2647	3280	3980
VNB Margin	24.0%	25.2%	26.0%	26.5%
EV	25192	29180	34839	41658
RoEV (%)	19.1%	14.3%	19.8%	19.8%
P/EV (x)	2.46	3.5	2.32	1.55

Notes:

Reverse merger of MAXLIFE and MFSL is approved by both boards in early 2026,

MFSL solvency ratio at 194% well above the 150x limit

Zyduswell is a consumer company with market leader in sugar substitutes category with Sugarfree brand (market share 95.3% in FY25), Prickly heat powder with Nycil brand(34.2%) and Glucon D with market share of 59.2%.

- ❖ Zyduswell expects to do strong revenue growth going ahead led by its core portfolio mainly Everyuth brand. The company has improved market share in Everyuth Facial cleansing from 6.2% in FY23 to 8.0% in FY26 while Everyuth scrub market share improved from 41.8% in FY23 to 48.6% in FY26 and it expects for further improvement going ahead led by launch of new product and distribution expansion. Secondly, Company has acquired Naturell (India) Private Limited (Ritebite) (FY24 Revenue: Rs 119 cr) in Nov-24 and Comfortclick Limited (Revenue:~ Rs 1,575 cr in year ended June-25) in Aug-25 whose full revenue is expected to come in FY26 and FY27E.
- ❖ The company is consciously improving its reach to boost penetration of its products. The company added 500 additional feet-on-street representatives in FY24. On direct reach front company improved its reach from 2 lakh outlets in FY19 to 6 lakh outlets in FY24. The management plans to improve its direct reach to 7 lakh outlets by FY26.
- ❖ Company gets ~3% of revenue from international business but now management is targeting to ramp up its international business (excluding Comfortclick Ltd. Revenue) to 8-10% of revenue in next 4-5 years on the back of new geography addition and new product launches.

	FY25	FY26	FY27E	FY28E
Net Sales	2709	3961	5585	6407
EBITDA	380	510	823	993
PAT	347	197	331	476
ROE (%)	6%	3%	5%	7%
EV/S (X)	4.0	4.2	3.8	3.2
P/E (X)	30.7	68.7	55.5	38.5
EV/EBITDA (X)	28.2	32.6	25.8	20.9

Notes:

Company expects gradual improvement in margin led by improvement in gross margin by ~200 bps and rest from operating leverage. As per guidance, management is optimistic to achieve EBITDA margin of 17-18% in next couple of years.

TVS MOTOR is the third largest 2-wheeler company in India and also the second largest exporter in India with exports to over 60 countries. Company has footprints globally, including geographies like Middle East, Africa, SE Asia, Indian subcontinent, Latin & Central America.

- ❖ TVSMOTOR is continuously launching new products in premium segment and also upgrading existing portfolio. Which resulted in 360 bps market share expansion over FY18-26 and current market share stands at 17.8%.
- ❖ The company has also made strong inroads in export markets and management is expanding footprints in Europe, Central America in addition to its existing strong markets Africa, ASEAN and Latin America.
- ❖ The company has acquired 4.39% stake in TVS Credit Services for Rs. 711 Cr, raising the holding to 85.15%.
- ❖ Total 2W capacity will expand from 6.8 million to 8.3 million units and 3W capacity will increase from 2.5 million to 4.2 million units.
- ❖ It has strong leadership position in 2W EV space with its brand i-Qube having 20% market share. The company has production capacity of 50000 units per annum for EVs.
- ❖ Company is investing approximately Rs 3,500 Cr toward new products and capacity expansions.

	FY25	FY26	FY27E	FY28E
Net Sales	36251	47270	56799	66160
EBITDA	4454	6079	7554	8932
PAT	2711	3615	4781	5764
ROE (%)	27.3%	32.2%	31.6%	29.0%
EV/S (X)	3.0	3.2	3.4	3.0
P/E (X)	40.0	41.9	41.1	34.1
EV/EBITDA (X)	24.5	25.2	25.9	21.9

Notes:

Management is confident in maintaining EBITDA margins by leveraging scale benefits, product premiumization, and sustained cost-reduction initiatives.

Expansion in scooter category will help in increasing 32-35% market share to 38-40% going forward.

Company has currently 700+ touch points for EV & expects this to further expand going ahead.

Rural Electrification Corporation (REC), incorporated in 1969 by Government of India, to finance and promote rural electrification projects in India. It is engaged in financing projects or schemes of power generation (both conventional and renewable energy), transmission, distribution, rural electrification and activities having forward/backward linkage with power projects, in both public and private sectors. PFC holds 52.63% stake in the company as a promoter entity.

- ❖ Power sector is expecting to have a huge capex in coming years with renewable capacity increasing from about 192 GW today to nearly 500 GW by 2030 and REC being one of the leading lender in power sector would benefit from this power sector capex.
- ❖ AUM has grown at 15% CAGR from FY12-FY25 and management aim to double the book to 10 lakh crore by FY30 from 5 lakh crore on the back of pickup in power sector.
- ❖ Asset quality has steadily improved, with NNPA falling from 3.79% (FY19) to 0.12% (FY26), and with no new NPAs in the past few quarters, supports target of nil NPA in coming years
- ❖ Company remains committed to grow its Renewable portfolio by 10x to Rs 3 Lakh crore by FY30 with mix increasing to 30% from current 7% in total AUM.
- ❖ The private sector share to overall loans stand at a mere 13% currently, it should climb to 30% by FY30, as renewables loans share rise given most RE assets are on the private side.
- ❖ Management aim to sustain its NIM at around 3.5% in the long term.

	FY25	FY26	FY27E	FY28E
NII	20935	21571	22098	23894
PPP	20531	21877	21058	22585
PAT	15713	16282	16752	16876
ADVANCES	559088	579243	607005	667706
NNPA (%)	0.38	0.12	0.11	0.09
ROE (%)	21.6	20.3	18.8	17.0
ROA (%)	2.7	2.6	2.6	2.4
P/B (x)	1.5	1.0	1.0	0.9

Notes:

Delay in PFC & RECLTD merger

Any delay in the recovery, higher than expected haircuts or sharp rise in the slippage

CAMS is India's largest Registrar and Transfer Agent (RTA) of mutual funds with an aggregate market share of approximately 70%. It provides technology driven financial infrastructure & services to MFs and other financial institutions. It has consistently operated with high (>30%) margins. During 4QFY26 , AuM serviced funds was at historical high of Rs. 55.1 lakh Cr with Lifetime high in Transactions of 293 Mn.

- ❖ The MF Industry's AUM has grown from ₹ 27.74 trillion as on Sep 30, 2020 to ₹81.5 trillion as on Mar 31, 2026, approx. 3 fold increase in a span of 6 years and is expected to maintain the growth going forward.
- ❖ MF RTA business was at around Rs 65.3 Bn in FY25 with CAMS holding 67.5% market share. Management expect to maintain the market share in MF segment with continued leadership in alternative investment fund (AIF) and KYC businesses.
- ❖ Company service all top 5 MFs and 10 of the 15 largest MFs with 19 years average relationship with 10 largest MF clients.
- ❖ In long run EBITDA margin is expected to be in range of 40%.
- ❖ For FY27 Yield compression in MF business is expected to remain contained below 3%, better than historical trends
- ❖ Revenue from Non- MF segment is expected to grow by more than 20% over the next few years with ~20% EBITDA Margin.

	FY25	FY26	FY27E	FY28E
Net Sales	1422	1516	1748	2023
EBITDA	652	685	813	961
PAT	465	473	562	668
ROE (%)	41.5%	35.8%	39.1%	40.3%
EV/S (X)	12.4	9.7	10.8	9.2
P/E (X)	39.5	32.8	35.1	29.6
EV/EBITDA (X)	27.1	21.4	23.1	19.3

Notes:

CAMS negotiates pricing terms periodically, so if Larger clients is aggressive in reducing prices as AUM increases, than the yield compression would be more than our expectation.

Management expects a potential reduction in headcount in FY27 as automation gains momentum.

Piramal Finance entered the financial services business in 2011 with the establishment of PHL Fininvest Pvt. Ltd.(an NBFC). It offers a diversified lending products including home loans, LAP, business loans, MFI, used car loans, CMML, real estate etc. It has network of 780 Branches across 26 states.

- ❖ Retail and Wholesale mix has improved from 33:67 in FY22 to 85:15 in 1QFY27 as management has reduced its Wholesale 1.0 book(includes older real estate developer loans and Promoter Holding Company) from Rs 43,175 cr to Rs 2452 cr and is expected to irrelevant by the latter half of FY27. Management has indicated to completely exit from Wholesale 1.0 book.
- ❖ The full-scale rollout of gold loans and co-branded credit cards in FY26 is a strategic shift to reduce dependence on mortgage-led growth, drive higher-yield and fee-based income, improve NIMs and RoA, and build a more diversified, granular, and stable retail lending.
- ❖ Retail segment is growing at ~35%, with a target to reach an Rs 1.5lk cr total AUM by FY28, while the portfolio mix is expected to remain retail-heavy at 80-85%, with 15-20% in Wholesale 2.0 exposures (CMML and real estate in a 1:3 split).Plan to increase unsecured mix by 4-5%.
- ❖ The recent AA+ rating upgrade is expected to reduce the cost of borrowing by 50-80 bps as the existing borrowing stack is replaced.
- ❖ Asset quality has improved consistently, with GNPA declining from 3.4% in FY22 to 2.4% in 1QFY27.
- ❖ The target is to deliver an RoAUM of roughly 2.5% by the Q4FY27(exit quarter), up from 2.1% in Q4FY26. The long-term goal is to reach 3% ROA by FY28 and a leverage ratio (AUM/Equity) of 4.5x. The company expects to transition from single-digit ROE to double digits during FY27. The target for the end of FY28 is 13.5% to 14% ROE.

.9	FY25	FY26	FY27E	FY28E
NII	3591	4731	6619	8621
PPP	1582	2294	3913	5649
PAT	485	1506	2259	3434
AUM	80689	101230	126805	157649
NNPA (%)	1.90	1.60	1.51	1.42
ROE (%)	1.8	5.5	7.8	10.9
ROA (%)	0.5	1.5	1.9	2.4
P/B (x)	0.8	1.5	1.5	1.4

Notes:

As of late 2025, PEL successfully completed a reverse merger into its subsidiary, Piramal Finance Limited.

While interested in acquisitions (particularly in microfinance, MSME, or gold loans), management is only looking for "value-based" deals and stated that nothing is imminent.

Co. received \$148 million from the sale of Piramal Imaging and concluded the stake sale of Shriram Life Insurance for ₹600 crores.- Utilized this for clean up of legacy wholesale book and create provision for future.

Marico is one of India's leading consumer products company with global presence (present in over 25 countries across emerging markets of Asia and Africa). Its Consumer Products include Coconut oils (33% of Domestic Revenues), edible oils (18%), Value added hair oils (19%) and foods(~20%).

- ❖ From last 4-5 years, company has consciously diversified its business towards growth oriented segment like Food and Premium Personal care & digital first brands. Food and Premium Personal care & digital first brands which used to be 8% of the domestic revenue in FY20, now became~21% of the domestic revenue (~Rs 1686 cr) in FY25. By doing that mgt. is not only reducing the impact of commodity fluctuations on the business but also ensuring future double digit revenue growth. Going forwards, mgt. expects this segment to grow by 20-25% CAGR in next 3 yrs and become 27% of the domestic revenue in FY27E.
- ❖ International business is expected to grow at CAGR of 12% from FY25 to FY28 on the back of better growth from Bangladesh (contributes ~44% of the international revenue) and MENA region. The Bangladesh business is expected to deliver more than double digit growth on the back of innovation while MENA growth will be backed product launches and market share gain going ahead. .
- ❖ Margin improvement on cards: As copra follows 18 months cycle so going forwards it is expected that from 4QFY26 onwards it is expected to start declining which will lead to margin improvement sequentially. Secondly Mgt. is targeting to improve their food business margin gradually to company's overall margin and reducing losses from digital first brands going forwards.

	FY25	FY26	FY27E	FY28E
Net Sales	10831	13611	15010	16769
EBITDA	2139	2328	2777	3270
PAT	1658	1813	2167	2603
ROE (%)	40.2%	42.2%	32.8%	30.6%
EV/S (X)	7.6	5.6	7.3	6.4
P/E (X)	50.7	42.9	52.0	43.3
EV/EBITDA (X)	38.5	32.5	39.4	32.9

Notes:

Company expects high single-digit volume growth in the India business and double-digit consolidated revenue growth to cross Rs 15,000 cr. for FY27.

Marico aims to confidently cross Rs 20,000 cr in revenue with mid-teens EBITDA growth by FY30. Furthermore, they aim to transform the overall portfolio by reducing the share of commodity-linked businesses from over 70% to 50%.

Affle (India), a technology company, helps its clients in consumer acquisitions, engagements & transactions through its consumer platform through contextual mobile ads and also by reducing digital ad fraud. Affle Uses cost per converted user (CPCU) model. It has a reach across 3.4+ Bn connected devices.

- ❖ Growing digital advertising share in overall advertisement pie is one of the growth drivers for companies like Affle. Digital advertisement which used to be ~12% of the total advertisement pie in India in CY16 went up to ~44% in CY24. Secondly, in digital advertising, programmatic advertising is growing much faster which is Affle strength. Hence Affle is expected to exploit this opportunity.
- ❖ The company has history of acquiring company at reasonable valuation and turning it around. It acquired Vizury (Sept-18), Shoffr (May-19), Mediasmart (March-20), Appnext (June-20), Jampp (July-21) and YouAppi (May-23) within a valuation range of .5 to 1.7x of EV/revenue.
- ❖ These acquisitions have increased Affle's technical capability and their presence in different verticals and geographies like YouAppi helped its presence in North America and growing Gaming vertical. Appnext increased its capability in On-device app discovery and recommendations. We expect this trend of acquisition will continue as Affle has strong cash balance of Rs 1200 cr. This will further improve its revenue growth.
- ❖ Management has guided 20%+ revenue growth and ~23% EBITDA margin in medium term with PAT margin to be ~17-18%.
- ❖ The company is also anchoring for 10x growth in the next 10 years.

	FY25	FY26	FY27E	FY28E
Net Sales	2266	2709	3530	4257
EBITDA	483	610	752	957
PAT	382	455	524	676
ROE (%)	13%	12%	13%	14%
EV/S (X)	9.4	7.0	5.9	4.8
P/E (X)	59.1	44.6	42.4	32.9
EV/EBITDA (X)	44.0	31.2	27.8	21.3

Notes:

Company is actively evaluating M&A opportunities, looking at both horizontal and vertical integration within the consumer platform ecosystem. There is an active evaluation list of around 4 companies.

Amber Enterprises India Ltd is a prominent solution provider for Air conditioner OEM/ODM Industry in India. It has a dominant presence in RACs complete unit and deals in major RAC components with 23 manufacturing facilities. Company is also leading (50% market share) HVAC suppliers in Railway..

- ❖ AC market in India has increased from 4.5 mn units in FY18 to 14 mn units in FY26. It is expected that it will more than double in next 5 years to 30-35 mn units. Amber maintained its market leadership with a 26-27% share of the manufacturing footprint (in value terms).
- ❖ After PLI scheme, some of AC OEMs are moving back to in sourcing of AC manufacturing. AMBER has proactively invested in AC component business in last 2 years and now able to supply 70% bill of material for AC. Hence, 12-15% revenue growth will continue.
- ❖ Amber is targeting USD 2 billion in revenue in the near term, supported by strong growth across its electronics, consumer durables, and railway & defense businesses. Company has also committed Rs 6,750 cr towards manufacturing projects in Uttar Pradesh's YEIDA region.
- ❖ Company has entered into an asset-light manufacturing collaboration agreement with OPPO Mobile India, marking its entry into the high-volume mobile market. Over the next 5 to 6 years, Amber's strategic goal is to continuously integrate more components (potentially camera modules, displays, or metal casings) to increase local value addition from the current industry standard of 10-12% up to 35% to 40%.

	FY25	FY26	FY27E	FY28E
Net Sales	9973	12186	14743	18653
EBITDA	763	952	1194	1619
PAT	251	226	383	573
ROE (%)	11.0%	5.2%	8.1%	10.8%
EV/S (X)	2.6	2.0	2.0	1.6
P/E (X)	97.1	101.7	68.3	45.6
EV/EBITDA (X)	33.4	26.1	24.2	18.3

Notes:

Management expects RAC industry to grow 13%, electronics by ~40%, and Railways to grow at 30-35% for FY27.

The company has outlined a capex of Rs. 5,000 cr over 2-3 years and expects RAC segment to continue the pace of growth with accretive margins as the product mix is expected to change overtime.

PVR INOX Ltd. is a leading media and entertainment company in India with a strong market position. PVRINOX is the largest multiplex chain in India with 1779 screens in 359 cinemas in 111 cities in India and Sri Lanka. In addition to box office collections, it generates revenue from food & beverages, advertising, and other ancillary sources, providing a diversified income stream.

- ❖ India's cinema industry is showing signs of recovery post-pandemic, the growth of cinema screens remains uneven across different regions. India has a total of approx. 10,000 cinema screens as of early 2026 with PVRINOX holding around 18% market share.
- ❖ Company has non-core assets (real estate space), which would be liquidated to reduce debt, focus is to reduce debt by 50% in next 12-15 months. The sale of asset could give anything between Rs 300-400 crs.
- ❖ The company has started to open screens under capex light model through FOCO model and Asset light model that is capex sharing contracts with landlords to increase RoCE. The objective is to bring down the overall capex by ~35-50%.
- ❖ Company intend to open 100-120 screen in FY27 with focus on expanding in south, around 40-45% of new screen additions is expected to be in South India. Till date 132 screens are signed under the capital light model with 88 under asset light and 44 under FOCO model.
- ❖ Management is focusing on shut down of non performing screens, closed 85 underperforming screens in FY24, 72 screens in FY25 and during 1HFY26 it has already closed 15 screens.

	FY25	FY26	FY27E	FY28E
Net Sales	5780	6646	7272	7875
EBITDA	1542	2095	2384	2557
PAT	(280)	176	476	654
ROE (%)	-4.0%	2.4%	6.1%	7.7%
EV/S (X)	1.7	1.4	1.4	1.2
P/E (X)	-32.1	51.2	23.3	17.0
EV/Adj.EBITDA (X)	23.9	10.1	8.3	6.7
EV/SCREEN(X)	5.8	5.1	5.6	4.8

Notes:

Signed 132 screens under asset light model

Gross Debt stood at Rs 1298 Crs as on 2HFY26, Delay in reducing debt could be a risk .

Jio Financial Services (JIOFIN) is a leading technology-driven financial services platform in India. JIOFIN operates in Credit, Insurance, Payments and Investment. Operating through a digital-first model, the company leverages a massive ecosystem of over 350,000 business correspondent touchpoints and 24 physical offices across 18 major cities. Initially established to unlock the financial potential of the Reliance ecosystem, the Bank's strategic advantage lies in its access to over 500 million telecom and retail customers, providing a unique low-cost acquisition channel.

- ❖ Jio Financial Services (JFS) has rapidly evolved its credit business into a "secured-first" powerhouse. As of the end of FY26 (March 31, 2026), its lending arm, Jio Credit, reached an Assets Under Management (AUM) of over ₹25,700 crore, a massive 149x increase since its inception in FY24.
- ❖ Jio Insurance manufactures and distributes digital-first life and general products, leveraging Allianz's expertise and Jio's 500 million users to target India's massive under-insured population. Its Insurance business serviced premium of Rs 982 Cr in FY26 with revenue of approx Rs 121 Cr growth of 37% YOY.
- ❖ JioBlackRock combines BlackRock's global investment expertise with Jio's digital reach to provide low-cost, professional wealth management to millions nationwide. Its AMC demonstrated rapid execution by launching 10 funds within six months of its debut, achieving an AUM of over Rs. 15,000 crore and a quarterly average AUM crossing Rs. 16,700 crore in Q4 FY26..
- ❖ Jio Financial Services leverages a massive AAA-rated capital base, zero acquisition costs via the Jio/Retail ecosystem, and global partnerships to provide an integrated, data-driven financial supermarket targeting millions of users with high-margin, manufactured financial products.
- ❖ JIOFIN'S investment in Reliance Group is approx Rs 1,18,432 Cr in FY25.

	FY25	FY26	FY27E	FY28E
Revenue(Net)	2,043	3,513	6,076	8,463
EBITDA	1,548	2,305	4,647	6,507
PAT	1,613	1,561	3426	4544
Networth	123496	133854	137797	143169
Total Assets	133510	163497	167103	182276
P/B	1.2	1.1	1.2	1.1
P/E	90	97	48	36
ROE (%)	1.31	1.17	2.50	3.20
ROA (%)	1.21	0.95	2.05	2.49

Notes:

- The Group **Chief Financial Officer (CFO), Mr. Abhishek Pathak, transitioned out of the role** at the end of FY26 to move to the Chairman's Office at Reliance Industries Limited.
- There will be 2-3 year wait time for JV profits to materialize.

Coforge is a premier global IT solutions and services provider specializing in digital transformation for industry-specific verticals, including Banking and Financial Services (26.6%), Insurance(15.1%), and Travel and Hospitality(23.1%).It has a Global Client base of 245 clients with 13 clients above 20 Mn +.As of 1QFY27 it has total employee base of 46228.

❖ Coforge continues to demonstrate industry-leading growth metrics. Delivered a 28.4% Profit CAGR over the last five years, with FY26 revenues reaching Rs 16,403 Cr.

❖ Coforge remains a dominant player in Travel & Hospitality benefiting from the continued post-pandemic digital overhaul of airline and hotel tech stacks.

❖ Post merger of CIGNITIC in the company, it has improved its EBITDA margins from 11% pre-acquisition to 19% within just 6 quarters. The top two accounts of Cigniti scaled from a combined \$25 million annual revenue to \$75 million post-acquisition through effective cross-selling.

❖ With acquisition of Encora, Coforge has effectively transitioned into an "AI-native" engineering firm rather than a legacy system integrator and The combined entity is at approx \$2 billion in revenue.

❖ Encora operates at a higher profitability(19% EBITDA M) threshold than traditional IT service providers due to its focus on digital product engineering and AI.

❖ Coforge management has projected a consolidated EBITDA margin of 20.5%+ for FY27 and targets \$ 5 Bn revenue by FY30.

	FY25	FY26	FY27E	FY28E
SALES	12051	16403	25216	27737
EBITDA	1694	2936	5100	5610
PAT	964	1675	2790	3411
EV/SALES (x)	4.5	2.2	3.1	2.7
EV/EBITDA (x)	31.8	12.5	15.4	13.4
ROE (%)	15.1%	17.6%	12.1%	13.4%
P/E (x)	56.2	22.4	27.3	22.3

Notes:

20–25% savings in G&A expenses through the integration of Encora, which will provide additional tailwinds.

Total ENCORA integration-related expenses would be at around \$15 Mn of which \$ 12 Mn has already been incurred in 4QFY26 and 1QFY27, with some amount to come in 2QFY27

MINDACORP

CMP: Rs 725/-

Mkt Cap: Rs 17,348 Cr

Minda Corporation is the flagship company of the Spark Minda Group and a leading Tier-1 automotive component manufacturer with 32 manufacturing plants across India and overseas. The company has evolved from a vehicle security systems player into a diversified automotive technology company with businesses spanning mechatronics, wiring harnesses, digital clusters, die-casting, and EV power electronics.

- ❖ Indian auto component industry is expected to grow at 8-9% YoY in FY27. Rising premium segment vehicles sales across categories coupled with increasing content per vehicle will continue to drive the industry growth.
- ❖ Minda is strategically expanding beyond its traditional product portfolio into high-growth areas such as sunroofs, power liftgates, 4W switch systems, EV powertrain electronics, and connected digital cockpit solutions. These new businesses are expected to increase content per vehicle, strengthen its presence in passenger vehicles and EVs, and become meaningful revenue contributors over the next few years.
- ❖ Company Minda Corporation enjoys a leadership position in India's vehicle access and lock systems market with around 40% market share, backed by strong OEM relationships and deep product engineering expertise. Moreover, nearly 95% of its portfolio is EV-agnostic, allowing the company to benefit from both ICE and EV vehicle production while reducing the risk of technology disruption, thereby providing a strong and sustainable competitive advantage.
- ❖ Management aims to triple revenue from Rs 5,000 crore in FY25 to Rs 15,000-17,500 cr. by FY30 while improving EBITDA margins from 11.4% to 12.5%+. This growth will be driven by premiumization, localization, higher EV content, new product categories, and operating leverage.
- ❖ Flash Electronics (acquired in 2025) transforms Minda into a more complete EV systems player, doubling content per vehicle Rs 12k-15k to Rs 30k-35k while adding high-margin powertrain electronics, making it a key driver of future growth and profitability.

	FY25	FY26	FY27E	FY28E
Net Sales	5056	6185	7917	10134
EBITDA	575	721	927	1186
PAT	239	277	433	595
ROE (%)	10.9%	10.5%	12.7%	14.8%
EV/S (X)	2.8	2.1	2.3	2.1
P/E (X)	53.9	43.6	39.9	35.2
EV/EBITDA (X)	24.6	18.2	19.5	18.2

Notes:

- The Minda Corporation formed a 60:40 JV with Toyodenso (Japan) to enter the advanced automotive switch systems market.
- The company targets to increase its Passenger Vehicle (PV) revenue mix from ~14% to 25% by FY30, driven by higher-value and technology-led product offerings.
- Minda Corporation's lifetime order book has crossed Rs 10,000 cr., with 25-30% of new order inflows coming from EV programs, reflecting strong traction in the electrification opportunity.

Karnataka Bank is a private sector commercial bank in India with a total asset base of Rs 1.30 lakh crore, and network of 976 branches and 1,469 ATMs. Originally established in Karnataka, the bank has expanded its presence across the country and has strategically transformed its loan portfolio toward a balanced Retail, Agriculture, MSME (RAM), and Corporate mix.

- ❖ Management expects 15-20% advance growth, led by continued RAM expansion and the replacement of low-yielding opportunistic advances with higher-yielding retail, MSME, and direct corporate loans.
- ❖ Expects 10-15% deposit growth, led by granular retail deposit mobilization, sustained CASA growth above 33%, and continued replacement of high-cost bulk deposits with lower-cost retail deposits.
- ❖ Asset quality to improve further, driven by lower slippages and a higher share of RAM loans in the portfolio. Aims to maintain the NNPA ratio at 0.6-0.8% and does not foresee any significant additional provisioning due to future slippages.
- ❖ Management guided the C/I ratio to improve over the medium to long term, with a target range of 52-55%.
- ❖ Expects to maintain a stable NIM of 3-3.4% by improving yields through continued expansion of the RAM loan portfolio while lowering the cost of funds through a greater share of granular retail deposits (below 3 cr).
- ❖ Management aspires ROA of 1.35-1.40%, following the achievement of 1.29% in Q1.

	FY25	FY26	FY27E	FY28E
NII	3310	3119	4052	4741
PPP	1827	1974	2610	3158
PAT	1272	1311	1804	2184
ADVANCES	76541	81810	94081	108193
DEPOSITS	104807	108779	120617	135242
NNPA (%)	1.31	0.98	0.75	0.64
ROE (%)	11.1	10.4	12.9	13.8
ROA (%)	1.1	1.0	1.3	1.4
P/B (x)	0.5	0.6	0.8	0.7

Notes:

Mr. Raghavendra Srinivas Bhat has served as MD & CEO since July 16, 2025, initially in an interim capacity until November 15, 2025, before being appointed as the full-time MD & CEO for an RBI-approved one-year term ending November 15, 2026.

L&T Technology Services Limited (LTTS) is a leading global pure-play Engineering Research and Development (ER&D) services provider. It offers services in five main areas that is Transportation, Telecom and Hi-Tech, Industrial Products, Plant Engineering and Medical Devices. LTTS customer base consists of 378 global clients and 57 of the world's top 100 R&D companies with 90% repeat customers.

- ❖ Global ER&D services market, is expected to grow at 8-9.5% CAGR by 2030 to reach a total of \$135 Bn to \$200 Bn with digital engineering growing by 1.7x during this period and accounting for over 53% of global ER&D spends.
- ❖ The Indian ER&D sector is projected to nearly double from \$56 Bn to \$100 billion by 2030 and LTTS being the largest ER&D services company would benefit from this.
- ❖ Mobility, Sustainability and Tech grew at CAGR of 15% from FY21-FY26 and the growth momentum is expected to continue in these segment.
- ❖ Company aims to double down on engineering-led growth across mobility, sustainability, and tech segments, supported by six strategic technology bets: Software-defined mobility, Plant modernization, Energy & industrial automation, Digital manufacturing, Next-gen compute & AI infrastructure, Software platforms & MedTech.
- ❖ Currently less than 50% of total revenue comes from these six identified technology bets and expects that over the next 5 years, more than 70% of the company's revenue will be driven by these six strategic bets
- ❖ Under Lakshya 31 ,Management guided for 13-15% Revenue CAGR over next 5 years. with EBIT margins in the range of 16-17% with aspiration to reach mid 16% levels by or before 4QFY27.

	FY25	FY26	FY27E	FY28
Net Sales	10670	10996	12412	13915
EBITDA	1893	1935	2330	2644
PAT	1264	1281	1510	1812
ROE (%)	20.8	19.8	20.7	21.8
EV/S (X)	4.2	2.7	2.7	2.4
P/E (X)	37.7	25.8	25.0	20.8
EV/EBITDA (X)	23.8	15.5	14.5	12.5

Notes:

Company achieved approx \$ 880 Mn TCV in FY26.

Prolonged slowdown in IT industry would impact the earning growth.

Company divested its SWC business , which will help LTTS to refocus on high margin engineering intelligence while improving capital allocation and margins.

Sky Gold & Diamonds Limited is a prominent Mumbai-based B2B jewelry manufacturer that specializes in precision-crafted, lightweight gold jewelry utilizing advanced 3D and casting technologies. The company acts as a preferred partner for major national and international retail brands—including Malabar Gold, Kalyan Jewellers, Tanishq(Tata), Aditya Birla (Indriya) and Reliance Jewels—reaching over 2,000 showrooms across India.

- ❖ Sky Gold & Diamond Ltd. is transitioning to an asset-light model by leasing its manufacturing facilities and monetizing land, with plans to scale monthly capacity to 4.5 tons (currently at 1.2 tons) by FY30. Strategically, it aims to capture 65% of retail store inventory needs through product diversification, secure 30% of its volume from the capital-efficient "Advanced Gold" job work model and expand internationally to derive 15% to 20% of revenue from exports.
- ❖ Sky Gold describes itself as 50% more frugal than its competitors. The company's employee costs and other expenditures total approximately 1.5% of sales, while competitors typically operate at 2x higher costs. Sky Gold's delivery time is 30% to 40% faster than many of its competitors. The company reports a turnaround time of 15 to 25 days, significantly outperforming the industry leader's average of 30 to 45 days.
- ❖ Under Vision 2030, management aims to achieve Rs 18,000–19,000 Cr in revenue and a PAT of Rs 945 Cr by FY30, maintaining a sustainable revenue CAGR of 30% to 35%. A primary goal of this phase is to establish a “strong balance sheet” and converting 20% to 25% of PAT into operating cash flow.
- ❖ Company targets a net debt reduction of over 50% in FY27 alone, and go net debt-free by FY30, shifting to a self-sustaining model where all growth is funded strictly through internal cash generation.

	FY25	FY26	FY27E	FY28E
Net Sales	3548	6295	8467	11290
EBITDA	196	434	601	835
PAT	133	282	422	606
ROE (%)	19%	24%	26%	27%
EV/S (X)	1.4	0.9	1.2	0.9
P/E (X)	35.4	17.5	23.7	16.5
EV/EBITDA (X)	26.1	12.8	17.2	12.3

ACUTAAS is one of the leading Research and Development driven manufacturer of Specialty Chemicals. It has 4 Manufacturing Facilities and 1 R&D Facility with ~500 Customers in ~45 Countries. Currently, it gets 79% of revenue from Advanced Pharmaceutical Intermediates and 21% from Specialty Chemicals.

- ❖ Darolutamide is used to treat patients with non-metastatic castration-resistant prostate cancer. This drug was developed by Orion (innovator) and it is marketed by Bayer. Darolutamide sales has grown at the CAGR of ~100% in last 2 years. Keeping view of traction, Bayer hiked its sales target for peak-sales for Darolutamide to € 3B which is expected to boost company's revenue going ahead. Orion's subsidiary, Fermion has given contract of manufacturing intermediates of Darolutamide to Acutaas. Company is planning to get Rs 1000 cr+ revenue from CDMO business by FY28.
- ❖ Semiconductor business acquired 55% stake in Baba chemical with a consideration of Rs 68 cr. Secondly, through Baba chemical it has created JV in South Korea named Indichem. The company is investing approximately KRW 30 billion in Indichem, holding a 75% stake, while the Korean partner holds 25% in exchange for technology, product, and market access. The JV is scheduled to start production by 2HFY27, followed by steady ramp up from FY28 onward.
- ❖ Company has developed electrolyte additives; The new plant in Jhagadia, with a capacity of 2,000 MTPA each for Vinylene Carbonate and FEC, which is completed. Several customers across different geographies have been onboarded, and the business aims for 1.5x asset turnover. The total capex for the plant is Rs 177 crore, intended to reach full capacity within 3 years.

	FY25	FY26	FY27E	FY28E
Net Sales	1007	1339	1825	2334
EBITDA	232	480	687	878
PAT	160	356	481	620
ROE (%)	12%	22%	22%	22%
EV/S (X)	9.7	15.5	13.6	10.5
P/E (X)	62.3	58.8	52.7	40.9
EV/EBITDA (X)	42.0	43.2	36.2	27.9

Notes:

Key Risk: Slow ramp up of Semiconductor and battery chemical business.

Three additional CDMO projects are expected to begin contributing to the top line from 2HFY27 onwards, with potential revenue of Rs 50 to 100 crore each.

Action Construction Equipment Ltd is world's largest Pick & Carry cranes manufacturer with over 63% market share in the Mobile cranes segment and a majority market share of 60%+ in Tower Cranes segment domestically. Additionally, it offers Crawler Cranes, Truck Mounted Cranes, Lorry Loaders, Backhoe Loaders, Motor Graders, Tractors and other Construction Equipment. It has one of the widest sales network and also exports to over 37 countries across Middle East, Africa, Asia and Latin America.

- ❖ India's growth, backed by Rs 11.2 trillion infrastructure capex for FY26, opens strong opportunities for ACE across expanding roads, railways and metro projects. The manufacturing push under PLI schemes and the US\$1 trillion target will further lift equipment demand. Additionally, the housing boost through Rs 77,526 cr under PMAY and SWAMIH 2.0 strengthens sustained growth prospects for ACE.
- ❖ ACE enjoys well diversified product basket with a strong clientele base of more than 15000 customers. It is the world's largest Pick & Carry cranes manufacturer with ~63% market share in the Mobile cranes & ~60% market share in Tower Cranes segment domestically.
- ❖ With growth in volumes and operating leverage, company aims to expand its margin profile going forward.
- ❖ Defence segment Indian army has developed order requirement for specialized machines between Rs.700-1000 cr and ACE would be competing for this order.
- ❖ JV with Kato (Japan) will become operational by end of July. The immediate addressable market is of Rs 300-400 cr and the long-term target will be Rs 800-1,000 cr.

	FY25	FY26	FY27E	FY28E
Net Sales	3327	3280	3819	4531
EBITDA	506	504	573	692
PAT	409	415	483	623
ROE (%)	25.3%	20.7%	19.6%	20.5%
EV/S (X)	4.2	2.4	2.9	2.4
P/E (X)	36.6	22.4	26.4	20.4
EV/EBITDA (X)	27.7	15.7	19.6	15.7

Notes:

Management expects to reach Rs 4400 cr revenue by FY27 and Rs 6000-7000 cr by FY29/30.

Export and defense contribution will increase to 10-15% in medium term with defense revenues alone projected to exceed Rs 200 crores in FY27.

Narnolia Financial Services Limited (NFSL) is a SEBI Registered Research Analyst having registration no. INH300006500.

Registered office: Marble Arch, 2nd Floor, Office 201, 236B, A J C Bose Road, Kolkata 700 020

Corporate Office Address: 803, Kanakia WallStreet – A Wing, Andheri Kurla Road, Chakala, Andheri (E), Mumbai – 400093;
Tel No.: 022-62701200; www.narnolia.com.

CIN:- U51909WB1995PLC072876

Compliance Officer: Rana Debnath, Contact No. 022 6270 1200, email id rdebnath@narnolia.com

NFSL, the Research Entity (RE) as defined in the Regulations, is SEBI registered Merchant Banker, Portfolio Manager & AMFI Registered Mutual Fund Distributor. NFSL is a subsidiary company of Narnolia Securities Limited. Details of associate entities of NFSL is available on the website at www.narnolia.com

*NFSL is 100% Subsidiary Company of. Narnolia Securities Ltd. under the Promotership of Mr. Krishnanand Narnolia.
There is no pending regulatory matter against the Company as on date.
No disciplinary action has been taken against the Company by any regulatory/statutory authority. There is no pending investor complaint against the Company in its capacity as Research Entity.*

Standard Disclosures in the Report

NFSL, its associates, Research Analyst or their relative may have financial interest in the subject company. NFSL and/or its associates and/or Research Analyst may have beneficial ownership of 1% or more securities in the subject company at the end of the month immediately preceding the date of publication of the Research Report. NFSL and its associate company(ies), their directors and Research Analyst and their relatives may; (a) from time to time, have a long or short position in, act as principal in, and buy or sell the securities or derivatives thereof of companies mentioned herein. (b) be engaged in any other transaction involving such securities and earn commission or other compensation or act as a market maker in the financial instruments of the company(ies) discussed herein or act as an advisor or lender/borrower to such company(ies) or may have any other potential conflict of interests with respect to any recommendation and other related information and opinions.; however the same shall have no bearing whatsoever on the specific recommendations made by the analyst(s), as the recommendations made by the analyst(s) are completely independent of the views of the associates of NFSL even though there might exist an inherent conflict of interest in some of the stocks mentioned in the research report. Research Analyst may have served as director/officer, etc. in the subject company in the last 12 month period. NFSL and/or its associates may have received compensation from the subject company in the past 12 months. In the last 12 months period ending on the last day of the month immediately preceding the date of publication of this research report, NFSL or any of its associates may have: a) managed or co-managed public offering of securities from subject company of this research report, b) received compensation for investment banking or merchant banking from subject company of this research report, c) received compensation for products or services other than investment banking or merchant banking from the subject company of this research report. d) Subject Company may have been a client of NFSL or its associates during 12 months preceding the date of distribution of the research report. NFSL and its associates have not received any compensation or other benefits from the Subject Company or third party in connection with the research report. NFSL and / or its affiliates may do and seek to do business including Investment Banking with companies covered in the research reports. As a result, the recipients of this report should be aware that NFSL may have a potential conflict of interest that may affect the objectivity of this report. Compensation of Research Analysts is not based on any specific Merchant Banking, Investment Banking or Brokerage service transactions. Research Analyst's views on Subject Company may vary based on Fundamental research and Technical Research. NFSL or its associates maintains arm's length distance with Research Team as all the activities are segregated from NFSL research activity and therefore it can have an independent view with regards to subject company for which Research Team have expressed their views. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Grievance Officer: Rana Debnath for grievances kindly mail us at ig@narnolia.com or call us at 022-6270 1200. SEBI Regional office address: 16 Camac Street, L&T Chambers 3rd Floor, Kolkata- 700 017

Analyst Certification The views expressed in this research report accurately reflect the personal views of the analyst(s) about the subject securities or issues, and no part of the compensation of the research analyst(s) was, is, or will be directly or indirectly related to the specific recommendations and views expressed by research analyst(s) in this report.

Analyst's ownership of the stocks mentioned in the Report	Nil
---	-----

Disclaimer

This report has been prepared by Narnolia Financial Services Limited (NFSL) and is meant for sole use by the recipient and not for public circulation. The report and information contained herein is strictly confidential and may not be altered in any way, transmitted to, copied or distributed, in part or in whole, to any other person or to the media or reproduced in any form, without prior written consent of NFSL. The report is based on the facts, figures and information that are considered true, correct, reliable and accurate. The intent of this report is not recommendatory in nature. The information is obtained from publicly available media or other sources believed to be reliable. Such information has not been independently verified and no guaranty, representation of warranty, express or implied, is made as to its accuracy, completeness or correctness. All such information and opinions are subject to change without notice. The report is prepared solely for informational purpose and does not constitute an offer document or solicitation of offer to buy or sell or subscribe for securities or other financial instruments for the clients. Nothing in this report constitutes investment, legal, accounting and tax advice or a representation that any investment or strategy is suitable or appropriate to your specific circumstances. The securities discussed and opinions expressed in this report may not be suitable for all investors, who must make their own investment decisions, based on their own investment objectives, financial positions and needs of specific recipient. Certain transactions -including those involving futures, options, another derivative products as well as non-investment grade securities - involve substantial risk and are not suitable for all investors. Each recipient of this document should make such investigations as it deems necessary to arrive at an independent evaluation of an investment in the securities of companies referred to in this document (including the merits and risks involved), and should consult his/her/its own advisors to determine the merits and risks of such an investment. Though disseminated to all the customers simultaneously, not all customers may receive this report at the same time. NFSL will not treat recipients as customers by virtue of their receiving this report. Neither the Company, not its directors, employees, agents or representatives shall be liable for any damages whether direct or indirect, incidental, special or consequential including lost revenue or lost profits or lost opportunities that may arise from or in connection with the use of the information/report. The person accessing this information specifically agrees to exempt NFSL or any of its affiliates or employees from, any and all responsibility/liability arising from such misuse and agrees not to hold NFSL or any of its affiliates or employees responsible for any such misuse and further agrees to hold NFSL or any of its affiliates or employees free and harmless from all losses, costs, damages, expenses that may be suffered by the person accessing this information due to any errors and delays.

This report is not directed or intended for distribution to or use by any person or entity resident in a state, country or any jurisdiction, where such distribution, publication, availability or use would be contrary to law, regulation or which would subject NFSL & its group companies to registration or licensing requirements within such jurisdictions.